Market regimes and asset performance

How bonds, USD, gold, stocks and crypto typically behave through the business cycle, alongside Fed rate policy and liquidity (QE / money printing vs QT).

Regime · Fed · liquidity	Bonds	USD	Gold	Stocks	Crypto
1. Expansion Fed: rates rising gradually Liquidity: normal, QE tapering	**–** **Yields rising** Growth and rate expectations push yields up	**~** **Mixed** US growth supports it; risk-on flows weigh on it	**~** **Lagging** No crisis or easing tailwind; opportunity cost rising	**++** **Earnings growth** Earnings drive equities; cyclicals lead	**+** **Risk-on** Risk appetite helps, rising rates cap upside
2. Peak Fed: rates high / restrictive Liquidity: QT, draining	**––** **Yields peak** Inflation and hikes push yields to cycle highs; bonds bottom late	**++** **Rate advantage** High rate differential pulls capital into USD	**+** **Inflation hedge** Hedge demand, partly offset by high real rates	**–** **Topping** Valuations compress, margins squeezed, volatility up	**––** **Liquidity drain** Most liquidity-sensitive asset; QT hits hardest
3. Recession Fed: cutting aggressively Liquidity: easing begins, QE restarts	**++** **Flight to safety** Rate cuts and safe-haven demand lift long bonds	**+** **Safe haven early** Bid in the panic, fades as the Fed cuts	**+** **Real yields fall** Falling real yields and fear support gold	**––** **Earnings fall** Earnings decline and defaults; worst equity phase	**–** **Deleveraging** Forced selling; bottoms once easing kicks in
4. Recovery Fed: rates at lows Liquidity: QE / money printing	**+** **Yields bottoming** Gains slow as growth returns	**––** **Debasement** Low rates and money supply growth weaken USD	**++** **Debasement hedge** Negative real rates favour gold	**++** **Cheap money** Cheap money plus re-accelerating earnings	**++** **Liquidity flood** Highest beta to liquidity; biggest winner

++ strong tailwind + mild tailwind ~ neutral / mixed – mild headwind –– strong headwind

Cycle: Expansion → Peak → Recession → Recovery → …

Key takeaways and caveats

Tightening (Peak): USD is the clear winner; crypto and long bonds suffer most.

Crisis cuts (Recession): bonds are the cleanest hedge; gold holds; stocks have their worst phase.

Money printing (Recovery): USD is the only loser; crypto, stocks and gold usually gain most.

Stagflation breaks the pattern: in 2022 bonds and stocks fell together, so the usual bond hedge failed.

Gold can dip early in a crash when it is sold to cover margin calls elsewhere.

Crypto has ~15 years of history, so its row rests on far fewer cycles than the others.

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Identifying the regime: indicator checklist

Score each indicator against the column it matches best. The regime with the most votes is the current one. All series are free on FRED (fred.stlouisfed.org) except ISM.

Indicator	1. Expansion	2. Peak	3. Recession	4. Recovery	Source / code
Yield curve (10y − 2y) Shape and direction	Positive, gradually flattening	Flat or inverted	Re-steepening fast as short rates fall	Steep and positive	`T10Y2Y`
Fed funds rate Direction of policy	Hiking gradually	High; last hikes, then hold	Cutting aggressively	At lows, on hold	`DFF / FEDFUNDS`
ISM manufacturing PMI Level vs 50 and direction	Above 50 and rising	Above 50 but rolling over	Below 50 and falling	Below 50 but rising, crossing 50	`ISM (ism.org)`
Core inflation Core PCE / CPI, YoY trend	Rising moderately	High and peaking	Falling	Low and stable	`PCEPILFE / CPILFESL`
High-yield credit spreads Corporate stress gauge	Tight and stable	Tight, starting to widen	Wide and spiking	Narrowing from wide levels	`BAMLH0A0HYM2`
Liquidity Fed balance sheet, M2 growth	Flat; QE tapering	Shrinking (QT)	QE restarts	Expanding strongly	`WALCL / M2SL`
Unemployment Trend and Sahm rule	Falling	At cycle low	Rising fast; Sahm rule ≥ 0.5 triggers	High but peaking	`UNRATE / SAHMREALTIME`

Scoring rule

5–7 votes for one regime: confirmed. Lean into that regime's winners from page 1.
4 votes: probable. Trade it at reduced size.
3 or fewer / split between two adjacent regimes: transition. Cut risk and wait for confirmation; transitions are where the big reversals happen.

Reading tips

Use the direction over the last 3–6 months, not one data point.
Credit spreads and the yield curve lead; unemployment lags. If leaders and laggards disagree, a transition is likely underway.
Re-score monthly, after the jobs report and CPI release.

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Growth × inflation: the four macro quadrants

The four-phase cycle assumes inflation peaks with growth. When they split, use this grid. It is the only way to see stagflation, the regime where stocks and bonds fall together.

Growth falling ← → Growth rising

Goldilocks

Growth ↑ · inflation ↓ · Fed easy or neutral · ≈ Recovery / early Expansion

Stocks	++
Crypto	++
Bonds	+
Gold	~
USD	–

Examples: 2013, 2017, 2023–24 disinflation rally

Reflation / overheating

Growth ↑ · inflation ↑ · Fed hiking · ≈ late Expansion → Peak

Stocks	+
Crypto	+
Bonds	––
Gold	+
USD	~

Examples: 2004–06, 2021. Commodities and energy lead

Deflationary bust

Growth ↓ · inflation ↓ · Fed cutting, QE · ≈ Recession

Stocks	––
Crypto	–
Bonds	++
Gold	+
USD	+

Examples: 2008, early 2020, 2001

Stagflation

Growth ↓ · inflation ↑ · Fed forced to hike · the hardest regime

Stocks	––
Crypto	––
Bonds	––
Gold	++
USD	+

Examples: 1970s, 2022. The 60/40 hedge fails; cash and gold hold up

Inflation falling ← (left column) | (right column) → Inflation rising

How to use it with page 2: growth direction = ISM PMI and unemployment trend. Inflation direction = core PCE / CPI trend over 3–6 months. If the checklist says *Peak* but growth is falling while inflation keeps rising, you are in stagflation, so treat bonds as a headwind, not a hedge.

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